There was also a list of exemptions, including healthcare, services provided by charities, religious persons, sportspersons, etc.

Over the years, the negative list and the exemptions have shrunk. In the GST system, there is a very small negative list of services. This includes services by employee to employer in the course of employment, services by any court or tribunal, functions performed by MPs, MLAs, etc.

GST Integrates the System of Value-Added Taxation on Goods and Services

Once the excise system of the Central government and the sales tax system of the states had adopted the value-added system and services had emerged as an important source of indirect/value added taxation, the movement towards integrating the entire indirect tax system into a comprehensive GST system appeared logical and essential. The government started announcing this goal from the 2009–10 Budget. However, this proved to be quite tough as it involved virtually restructuring the basic constitutional scheme of taxation, sharing of taxation powers, potential loss of sovereignty for both the states and Centre on taxation of goods and services and creation of new constitutional bodies like the GST Council. There were also serious implications for the tax revenues of manufacturing states as GST was a destination-based taxation concept. While there were clear advantages, including introduction of a ‘one nation, one indirect taxation’ system, the unknowns of the GST system and loss of authority over such an important and comprehensive taxation system as the state VAT and many other indirect taxes were daunting challenges. Finally, Finance Minister Arun Jaitley was able to build consensus on the matter, offering a very liberal compensation scheme in the process.

His Budget speech in 2017–18 captured the challenge and final movement towards GST: